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Paperless Business Banking

Position Paper

The case for compliant, self-serve service journeys — and a prototype that makes it concrete

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POSITION IN BRIEF

1 Position in brief

Business-banking service events that still depend on paper and branch attendance should be re-imagined as guided, digitally-signed, self-serve journeys — with the regulatory controls built into the flow. The case is not merely one of convenience: done well, this model reduces cost and elapsed time, improves the customer experience, and strengthens compliance by making every control explicit, consistent and automatically recorded.

This paper sets out the argument in four moves — the problem, the opportunity, the timing, and the evidence — and closes with a specific recommendation. A working front-end prototype accompanies it and makes the proposition concrete enough to test.

THE PROBLEM

2 The problem: paper in the critical path

Across mandates, payments, closures, disputes and onboarding, too many journeys still sit on posted forms, wet-ink signatures, faxed details and branch visits. The consequence is not a single large failure but a steady accumulation of small ones: latency, cost, error and an experience that visibly lags the rest of digital banking.

- Latency — postal round-trips convert minutes of decision-making into days of elapsed time.
- Cost — paper handling, re-keying and exception management carry real and recurring operational expense.
- Risk — manually-applied controls are harder to apply consistently and harder still to evidence [1].
- Experience — business customers now expect to self-serve, at any hour, from any device.

THE OPPORTUNITY

3 The opportunity: compliant self-serve

The controls these journeys require — identity, authorisation to the correct mandate, Confirmation of Payee [4], sanctions and PEP screening [8], cooling-off, and audit [12] — are precisely the tasks software performs consistently and at scale. Expressed inside the workflow, a control stops being a reason to keep paper and becomes the mechanism that makes a faster, self-serve journey safe.

> THE REFRAMING
> Compliance and customer experience are usually treated as a trade-off. Building the controls into the flow collapses that trade-off: the same design that removes the paper is the one that applies the control more consistently than paper ever did.

WHY NOW

4 Why now

Three developments make this the right moment rather than merely a good idea:

- Regulatory direction rewards it. The Consumer Duty [1] expects demonstrable good outcomes, and the APP reimbursement regime [7] raises the cost of inconsistent payment controls — both favour controls that are built in and evidenced.
- Expectations have shifted. Business customers increasingly expect parity with the best consumer digital experiences, and judge the bank against them.
- The building blocks are mature. Confirmation of Payee [4], Strong Customer Authentication [3] and digital identity are established, reusable capabilities rather than research projects.

EVIDENCE

5 Evidence: the prototype

A self-initiated front-end prototype implements seventeen paperless journeys across seven business entity types, each replacing a specific paper or branch process and surfacing the control that governs it — from mandate changes and bulk payments to disputes, cross-border beneficiary onboarding, balance certificates and device management. It is a clickable articulation of this position, deliberately front-end only and carrying no real data. Its role is to move the conversation from slideware to something colleagues, risk stakeholders and customers can actually use.

BENEFITS

6 Benefits

The value accrues to three parties at once, which is what makes the proposition durable rather than a cost-shifting exercise:

Stakeholder	Benefit
Customer	Faster outcomes, self-serve at any time, clear status, and fewer branch visits
Bank	Lower cost-to-serve, fewer exceptions, consistent control application, and a stronger audit position
Risk & compliance	Controls made explicit and logged [12]; fair treatment and cooling-off designed in [1]

RISKS

7 Risks and mitigations

The proposition carries real risks; each has a credible mitigation, and none is a reason for inaction:

Risk	Mitigation
Digital exclusion	Retain assisted and non-digital routes; design to WCAG 2.1 AA [16] from the outset
Fraud and social engineering	Strong authentication [3], Confirmation of Payee [4], screening [8], and cooling-off windows
Regulatory change	Model controls as configurable policy rather than hard-coded logic, so rules can move
Adoption	Validate journeys with customer research before scaling; sequence by value, not by ease

RECOMMENDATION

8 Recommendation

On the strength of the argument and the accompanying prototype, the recommendation is to:

- Endorse the paperless, compliant-by-design model as the target for business-banking service journeys.
- Select a small set of highest-value journeys for a backend-integrated pilot with defined success measures.
- Fund structured customer research using the prototype as the discussion artefact.
- Define the production integration, security and data-protection requirements in parallel, so a positive pilot can proceed without a standing start.

REFERENCES

References

[1] FCA, A New Consumer Duty — Policy Statement PS22/9 (July 2022); FCA Principle 12 and PRIN 2A.

[2] The Payment Services Regulations 2017 (SI 2017/752), transposing Directive (EU) 2015/2366 (PSD2); main provisions in force from 13 January 2018 and the secure-communication / SCA provisions from 14 September 2019. Now within the repeal-and-replace programme under the Financial Services and Markets Act 2023.

[3] Commission Delegated Regulation (EU) 2018/389 — Regulatory Technical Standards for Strong Customer Authentication and common and secure open standards of communication (SCA-RTS).

[4] Pay.UK — Confirmation of Payee (CoP) scheme rules.

[5] Bacs — the Direct Debit Guarantee.

[6] The Payment Services Regulations 2017, regs 76–77 (unauthorised and incorrectly executed transactions).

[7] PSR — Faster Payments APP scams mandatory reimbursement requirement (in force 7 October 2024).

[8] The Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017 (SI 2017/692).

[9] Regulation (EU) 2015/847 on information accompanying transfers of funds (the Funds Transfer Regulation), as retained in UK law.

[10] FCA Handbook — Dispute Resolution: Complaints (DISP); the Financial Ombudsman Service.

[11] FCA Handbook — Banking: Conduct of Business Sourcebook (BCOBS).

[12] FCA Handbook — Senior Management Arrangements, Systems and Controls (SYSC 9 record-keeping); the Senior Managers and Certification Regime (SM&CR;).

[13] Consumer Credit Act 1974.

[14] HMRC — Making Tax Digital for VAT.

[15] UK GDPR and the Data Protection Act 2018 (as amended by the Data Use and Access Act 2025), Article 5(1)(c) — data minimisation and purpose limitation.

[16] W3C — Web Content Accessibility Guidelines (WCAG) 2.1, Level AA.

[17] ICO — guidance on the pre-employment vetting of candidates: necessity, proportionality and data minimisation when verifying individuals (relevant to the signatory ID register).

Concept prototype — front-end only. No backend, no live system connections, and no real customer, account or payment data. Prepared for internal discussion.